Block practice · Concepts and technology in practice

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Technology in accounting: benefits, drawbacks and decisions

Spotting the concept behind an accounting treatment

OLevels.com SCHOOL

Practice workbook · Technology in accounting: benefits, drawbacks and decisions

Benefits of accounting software and spreadsheets, set against cost, training and data risks when a trader is deciding whether to computerise or outsource.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ENV-05

1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

17 (a) Explain how the preparation of a trade receivables control account can help to prevent fraud.

(2)

Rio sells goods on credit to Paulo. He also purchases goods from Paulo on credit.

The two businesses have an agreement that they will always settle their accounts on the last day of each month.

During the month of March 2025, the following transactions took place between them.

March	Transaction
2	Rio sold goods on credit to Paulo, $580
18	Rio purchased goods on credit from Paulo, $690
21	Rio returned goods to Paulo, $80
28	Paulo returned goods to Rio, $110
31	Rio set off the balance on the two accounts and a payment was made to settle the remaining balance.

(b) Prepare, for the month ended 31 March 2025, in the books of Rio, the account of Paulo in **both** the receivables ledger and the payables ledger.

(8)

Receivables Ledger Paulo Account

Date	Details	$	Date	Details	$

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P 7 8 7 9 1 A 0 1 4 2 0

1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

Payables Ledger Paulo Account

Date	Details	$	Date	Details	$

(c) Advise Rio whether he should start using spreadsheets to manage his receivables and payables.

(5)

(Total for Question 17 = 15 marks)

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1. Question 17 · part c · 5 marks · Working and answer

Working and answer

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2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) Prepare the trial balance from the list of balances.

(8)

Trial balance at 31 March 2020

Account	Balance $	Trial balance	
		Debit $	Credit $
Bank loan	2 000		
Bank overdraft	160		
Carriage outwards	650		
Discount received	190		
Drawings	5 130		
Equity	19 500		
Fixtures and fittings – cost – provision for depreciation	 24 400 6 350		
General expenses	16 870		
Inventory at 1 April 2019	18 750		
Provision for irrecoverable debts	300		
Purchases	42 630		
Returns inwards	2 580		
Revenue	88 320		
Trade payables ledger control account	5 230		
Trade receivables ledger control account	11 040		
Total			

(b) State **each** type of error.

(2)

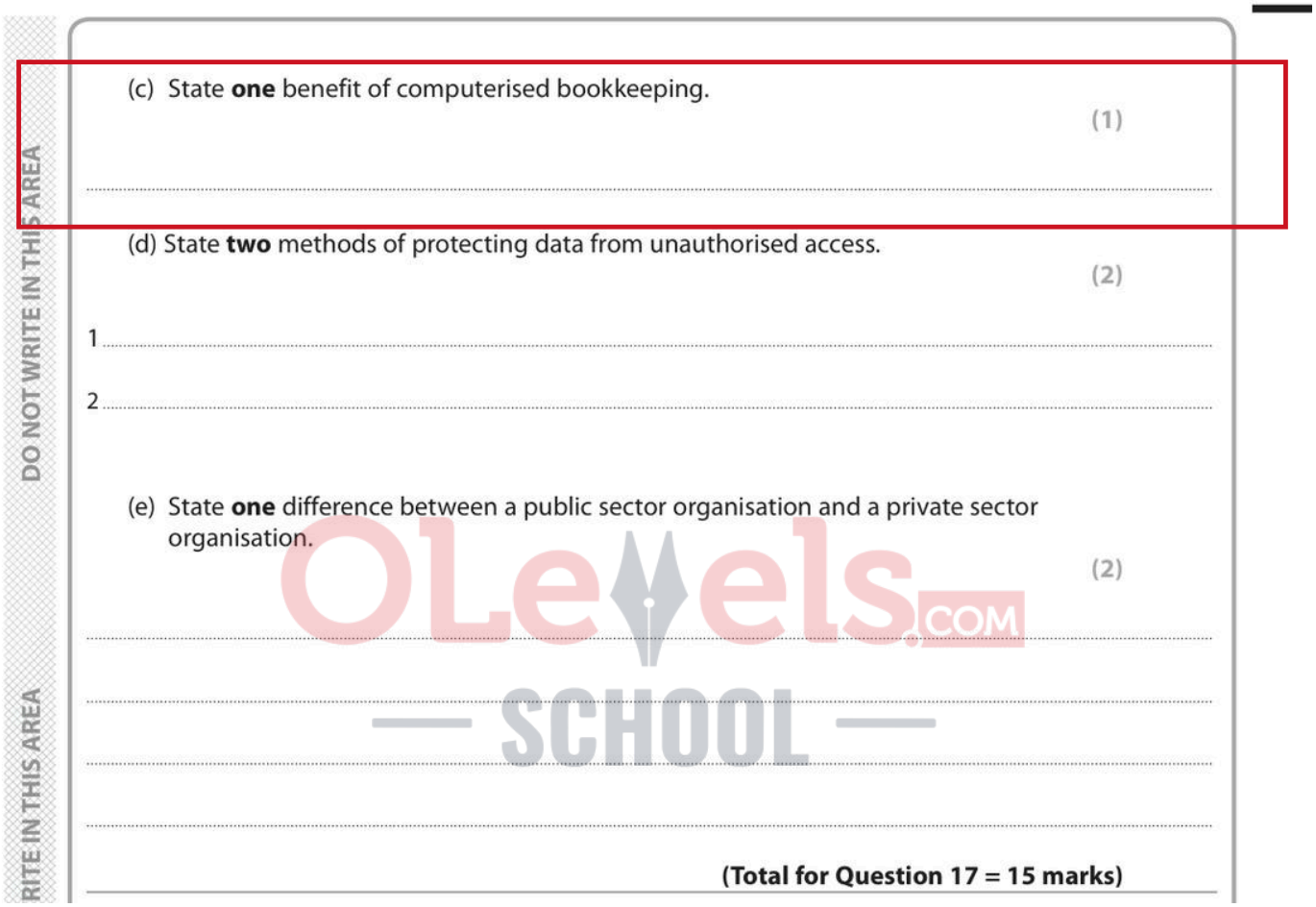
Error	Type of error
Purchase of a motor vehicle had been entered in the motor expenses account.	
Wages paid had been posted to the general expenses account.	

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2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.



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(c) State **one** benefit of computerised bookkeeping.

(1)

.....

(d) State **two** methods of protecting data from unauthorised access.

(2)

1 .....

2 .....

(e) State **one** difference between a public sector organisation and a private sector organisation.

(2)

.....

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.....

.....

(Total for Question 17 = 15 marks)

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OLevels.COM SCHOOL

Working and answer

3. Question 18 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

18 (a) State **two** benefits of using technology in accounting.

(2)

1 .....

.....

2 .....

.....

(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

Item	Capital expenditure	Revenue expenditure
Installation cost		
Delivery cost		
Consumables		

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

Cash book – bank column

Date	Details	$	Date	Details	$

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P 6 3 0 1 1 A 0 1 8 2 0

3. Question 18 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

15 (a) State **two** reasons for offering a trade discount.

(2)

1 .....

.....

2 .....

.....

(b) State **two** reasons why a credit customer's account may have a credit balance.

(2)

1 .....

.....

2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

January 2023	Transaction
2	Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720
9	Sold goods, list price $880
17	Returned goods sold on 9 January 2023, $170
28	Sold goods, list price $1 300

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4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

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(c) Prepare the account of Bella for the month of January 2023. Balance the account on 31 January 2023 and bring the balance down on 1 February 2023.

(7)

Bella Account

Date 2023	Details	$	Date 2023	Details	$

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(d) (i) State **two** benefits of using accounting software.

(2)

1 .....

2 .....

(ii) State **two** methods of protecting data when using accounting software.

(2)

1 .....

2 .....

(Total for Question 15 = 15 marks)

4. Question 15 · part d.i · 2 marks · Working and answer

Working and answer

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5. Question 13 · part b · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

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13 (a) State **two** stakeholders that may be interested in the financial statements of a business.

(2)

1 .....

2 .....

(b) State **two** benefits to a business of using a computerised accounting package.

(2)

1 .....

2 .....

(c) State **one** characteristic of a public sector organisation.

(1)

.....

(Total for Question 13 = 5 marks)

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Working and answer

6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

17 (a) State **two** purposes of a suspense account.

(2)

1 .....

2 .....

(b) Complete the following table for each scenario.

(6)

Scenario	Type of error	Account to be debited	Account to be credited
A payment received from Jon, $200, was entered in Ron's account			
A cheque, $376, for wages was entered in the cashbook and the wages account as $367			

(c) Evaluate how the introduction of accounting software will improve the accuracy of a business's accounts.

(5)

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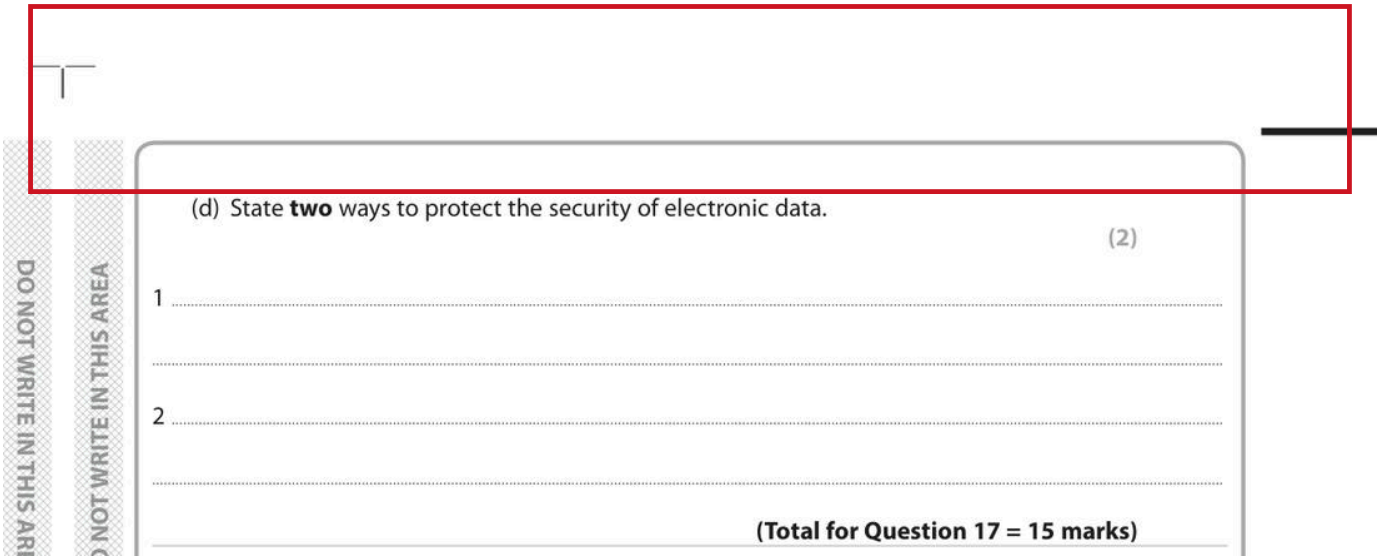
16

P 5 7 0 7 6 A 0 1 6 2 0

6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.



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(d) State **two** ways to protect the security of electronic data.

(2)

1 .....

.....

2 .....

.....

(Total for Question 17 = 15 marks)

Working and answer

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7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

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P 5 9 9 4 0 A 0 1 8 2 0

7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

Nyat is considering purchasing a computerised accounting package.

(c) Evaluate the benefits of this proposal.

(5)

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(Total for Question 18 = 15 marks)

7. Question 18 · part c · 5 marks · Working and answer

Working and answer

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8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

18 Lucas provided the following information for the month ended 31 March 2022.

	$
Trade receivables ledger balances at 1 March 2022	48 220
Trade receivables ledger balances at 31 March 2022	47 830
Cash sales	8 300
Contra/set off to trade payables ledger	270
Credit customer's cheque dishonoured	360
Credit sales	41 480
Discount allowed	410
Discount received	120
Irrecoverable debts	1 930
Receipts from credit customers	38 590
Returns inwards	1 030
Returns outwards	1 950

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8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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(a) Prepare the trade receivables ledger control account for the month ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Trade Receivables Ledger Control Account

Date 2022	Details	$	Date 2022	Details	$

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(b) State **two** reasons why a customer's cheque may be dishonoured by the bank.

(2)

1 .....

2 .....

8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

Lucas is proposing to change from a manual system to a computerised system of bookkeeping.

(c) Evaluate whether Lucas should proceed with this proposal.

(5)

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(Total for Question 18 = 15 marks)

8. Question 18 · part c · 5 marks · Working and answer

Working and answer

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

14 Mitch maintains a full set of accounting records. During the last week of March 2023, the following transactions took place.

March 2023	Transaction
25	Sold goods on credit to Jay, $570
29	Goods returned by Jay, $85
30	Sold goods on credit to Mateta, $316
31	Sold goods for cash, $50

(a) Complete the following books of original entry for the month of March 2023.

(5)

Sales Day Book

March 2023	Customer	$
24	Total to date	3 194

Sales Returns Day Book

March 2023	Customer	$
24	Total to date	28

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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On 1 March 2023 the balance of the sales account was $71 730

(b) Prepare the sales account for the year ended 31 March 2023 showing the transfer to the income statement.

(5)

Sales Account

Date	Details	$	Date	Details	$

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9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Mitch is considering introducing computerised accounting software.

(c) Evaluate whether he should proceed with this proposal.
You **must** include **both** advantages and disadvantages of the proposal.

(5)

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(Total for Question 14 = 15 marks)

9. Question 14 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

2 Ed, a sole trader, provided the following information.

Balance at 1 May 2022	**$**
Fixtures and fittings – cost – provision for depreciation	 123 500 55 575
Bank	1 680
Inventory	25 500
Other payables	1 400
Trade receivables	76 000
Trade payables	25 100

(a) Calculate the equity at 1 May 2022. **(3)**

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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Balance at 30 April 2023	$
Fixtures and fittings – cost – provision for depreciation	 275 000 96 825
Bank	2 650 Cr
Bank loan (2030)	75 000
Inventory	17 600
Other payables	1 900
Trade receivables	86 500
Trade payables	18 540

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

Ed
Statement of Financial Position at 30 April 2023

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8

P 7 3 4 7 4 A 0 8 1 2

10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

(5)

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(Total for Question 2 = 25 marks)

10. Question 2 · part c · 5 marks · Working and answer

Working and answer

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 Tang, a sole trader, provided the following balances at 31 December 2023.

Account	$
Business rates	1 430
Carriage inwards	800
Carriage outwards	1 300
Fixtures and fittings – cost	10 000
Fixtures and fittings – provision for depreciation	2 000
General expenses	5 800
Insurance	3 600
Irrecoverable debts	650
Motor expenses	22 890
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	5 000
Opening inventory	8 700
Premises – cost	85 000
Purchases	89 000
Returns outwards	4 256
Revenue	150 000

Additional information

- Closing inventory was valued at $9 345
- On 31 December 2023 business rates, $570, were owing and insurance, $600, was paid in advance.
- During the year Tang took goods costing $3 290 for his personal use.
- The purchase of a new motor vehicle, $15 000, has been included in the motor expenses account.
- Depreciation on non-current assets is to be provided for as follows:
  - fixtures and fittings, 10% per annum, using the straight line method
  - motor vehicles, 25% per annum, using the reducing balance method.
- A full year's depreciation is charged on assets held at the year end.

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2023.

(20)

Tang

Income statement for the year ended 31 December 2023

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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Tang is considering two options to improve his financial record keeping.

Option 1: employ a part-time bookkeeper.

Option 2: purchase an accounting software package.

(b) Discuss **both** options and advise Tang which option he should choose.

(5)

Option 1

Option 2

Advice

(Total for Question 1 = 25 marks)

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11. Question 1 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Spotting the concept behind an accounting treatment

Spotting the concept behind a business practice or year-end adjustment: valuing inventory, keeping one depreciation method, expensing small items, keeping private spending out of the business, leaving staff skills off the statement of financial position, and the concepts behind depreciation, debt provisions, write-offs and accruals.

21 question parts: 1 worked-example retry and 20 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ENV-04

1. Question 14 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

14 (a) State **two** purposes of preparing a trial balance.

(2)

1 .....

2 .....

(b) State **one** difference between:

(i) an error of commission and an error of principle

(2)

.....

.....

.....

.....

(ii) an error of original entry and an error of omission.

(2)

.....

.....

.....

.....

(c) Identify, indicating with a tick (✓), where each account balance would be shown in a trial balance.

(4)

Account	Trial balance	
	Debit $	Credit $
Carriage inwards		
Carriage outwards		
Returns inwards		
Returns outwards		

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P 7 1 5 7 3 A 0 8 2 4

1. Question 14 · part e · 3 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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(d) Identify which principle of professional ethics is being described.

(2)

	Principle of professional ethics
Accountants must operate in a straightforward and honest manner.	
Accountants must be free from bias or conflict of interest.	

(e) Identify which accounting concept is being applied in **each** scenario.

(3)

Scenario	**Accounting concept**
A trader uses the same method of depreciation each year.	
A trader makes an adjustment in the financial accounts for amounts paid in advance.	
A trader records the purchase of an item of stationery as a business expense.	

(Total for Question 14 = 15 marks)

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1. Question 14 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 17 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 (a) Complete the corrected trial balance.

(9)

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft	1 830			
Carriage inwards		710		
Carriage outwards	1 220			
Discount allowed		420		
Discount received		300		
Drawings		6 200		
Equity		16 600		
General expenses	5 950			
Inventory	5 350			
Irrecoverable debts		250		
Non-current assets – accumulated depreciation		5 900		
Non-current assets – cost	15 050			
Purchases	34 280			
Rent and rates	3 650			
Returns inwards		530		
Returns outwards		980		
Revenue		65 570		
Trade payables	3 510			
Trade receivables		2 180		
Wages	18 900			
Total				

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2. Question 17 · part b · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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(b) Identify the accounting concept being applied in each of the following scenarios.

(2)

Scenario	Accounting concept
A computer purchased for personal use should be charged to drawings.	
The purchase of a new calculator for $40 should not be charged to non-current assets.	

(c) Complete the table by indicating with a tick (✓) in which section of the financial statements each cost would be shown.

(4)

Item	Expense	Income	Current asset	Current liability
Irrecoverable debts				
Provision for irrecoverable debts				
Provision for irrecoverable debts – decrease				
Provision for irrecoverable debts – increase				

(Total for Question 17 = 15 marks)

OLevels.COM SCHOOL

Working and answer

3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

14 (a) State **two** reasons for maintaining a petty cash book.

(2)

1 .....

.....

2 .....

.....

Jonny maintains a petty cash book with a float of $150

During January 2019 the following petty cash transactions took place.

January	Voucher Number	Transaction	$
2	101	Purchased postage stamps	11.50
8	102	Paid travel expenses to sales manager	22.50
15	103	Paid to John, a trade payable	35.00
22	104	Purchased coffee, tea and sugar	17.75
26	105	Purchased postage stamps	8.50
31	106	Paid cleaner's wages	15.00
31		Restored float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 January 2019.

Balance the petty cash book on that date and bring the balance down on 1 February 2019.

(11)

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3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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Petty Cash Book

Receipts $	Date 2019	Details	Voucher number	Payments $	Cleaning $	Postage $	Refreshments $	Travel $	Ledger Accounts $

OLevels.COM SCHOOL

3. Question 14 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(c) State which accounting concept has not been applied in each scenario.

(2)

Scenario	Accounting concept
Jonny charged a private lunch to refreshments in the petty cash book.	
Jonny purchased a new sweeping brush for $10 and charged it to non-current assets.	

(Total for Question 14 = 15 marks)

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DO NOT WRITE IN THIS AREA

Working and answer

OLevels.com SCHOOL

4. Question 4 · part whole · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part whole only.

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4 Inventory should be valued at the lower of cost or net realisable value.

Which accounting concept is this an application of?

- ☐ **A** Accruals
- ☐ **B** Consistency
- ☐ **C** Materiality
- ☐ **D** Prudence

(Total for Question 4 = 1 mark)

Working and answer

OLevels.COM SCHOOL

5. Question 2 · part whole · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

2 The skills and knowledge of a workforce is **not** shown as an asset in the financial statements.

Which accounting concept is being applied?

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Money measurement

(Total for Question 2 = 1 mark)

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Working and answer

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6. Question 3 · part whole · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

3 A business always uses the reducing balance method of depreciation.

Which accounting concept is being applied?

- ☒ **A** Accruals
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 3 = 1 mark)

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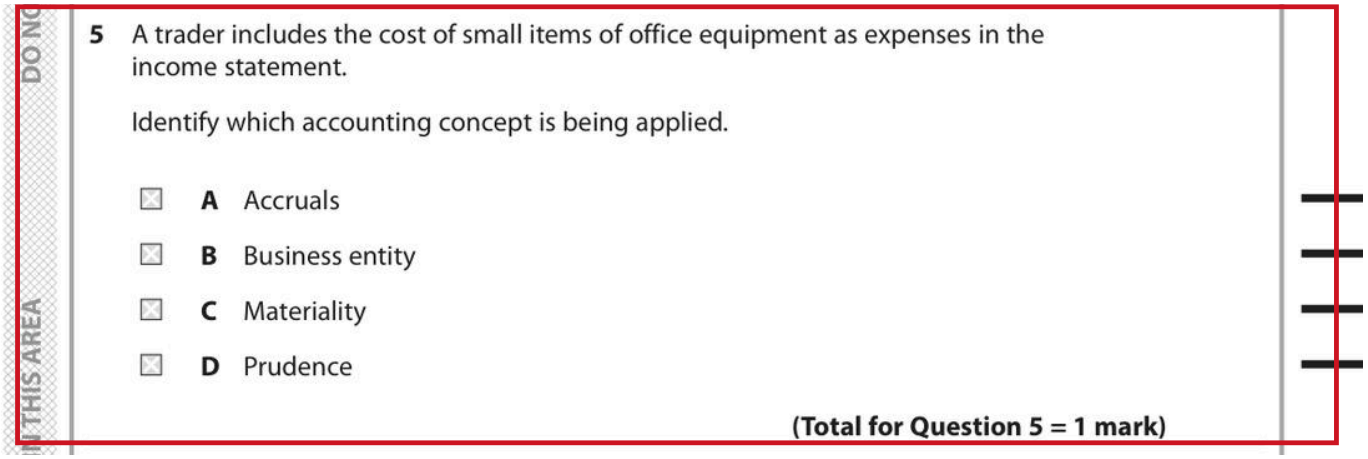
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7. Question 5 · part whole · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part whole only.



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5 A trader includes the cost of small items of office equipment as expenses in the income statement.

Identify which accounting concept is being applied.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Materiality
- ☒ **D** Prudence

(Total for Question 5 = 1 mark)

Working and answer

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8. Question 4 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.

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4 Inventory should be valued at the lower of cost and net realisable value.

Identify which accounting concept this is an application of.

- ☒ **A** Accruals
- ☒ **B** Consistency
- ☒ **C** Money measurement
- ☒ **D** Prudence

(Total for Question 4 = 1 mark)

Working and answer

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

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9. Question 17 · part b · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

.....

(ii) Balance on the provision for irrecoverable debts account

(1)

.....

(Total for Question 17 = 15 marks)

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Working and answer

10. Question 17 · part a.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.ii only.

17 Jack provided the following information for the year ended 30 April 2023.

1 May 2022	Stationery account balance $250
10 May 2022	Purchased stationery, $80, paying by cheque.
17 May 2022	Returned stationery, $15, refund received by cheque.
29 August 2022	Jack took stationery, $25, for his personal use.
30 April 2023	Closing stationery was valued at $190

(a) (i) Prepare the stationery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(7)

Stationery Account

Date	Details	$	Date	Details	$

(ii) State the accounting concept that applies when taking stationery for personal use.

(1)

.....

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10. Question 17 · part a.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a.ii only.

On 1 May 2022 insurance paid in advance was $360

On 1 July 2022, insurance, $1980, was paid by cheque. This covered the twelve month period ending 30 June 2023.

(b) (i) Prepare the insurance account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(5)

Insurance Account

Date	Details	$	Date	Details	$

(ii) Explain, referring to an accounting concept, why it was necessary to adjust for the amount paid in advance on 30 April 2023.

(2)

Accounting concept

.....

Explanation

.....

.....

.....

(Total for Question 17 = 15 marks)

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10. Question 17 · part a.ii · 1 mark · Working and answer

Working and answer

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11. Question 10 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

10 Identify the accounting concept being applied when a trader always uses the same method of depreciation.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Consistency
- ☒ **D** Materiality

(Total for Question 10 = 1 mark)

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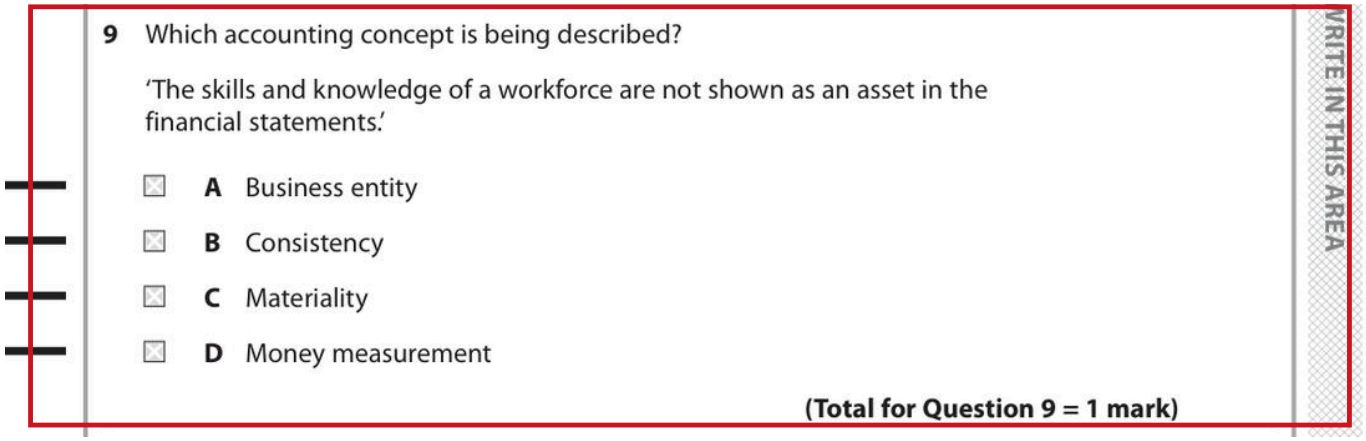
Working and answer

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12. Question 9 · part whole · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part whole only.



9 Which accounting concept is being described?

'The skills and knowledge of a workforce are not shown as an asset in the financial statements.'

- ☒ **A** Business entity
- ☒ **B** Consistency
- ☒ **C** Materiality
- ☒ **D** Money measurement

(Total for Question 9 = 1 mark)

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Working and answer

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13. Question 16 · part b · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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13. Question 16 · part b · 2 marks · Working and answer

Working and answer

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14. Question 18 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

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22

P 6 6 4 6 7 A 0 2 2 2 4

14. Question 18 · part c · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part c only.

On 1 April 2018 Rafiq purchased a motor vehicle at a cost of $48 000

On 1 December 2020 Rafiq sold the motor vehicle to Bilal for $28 000. One half of the sale proceeds were received by bank transfer on that date and the balance was to be paid on 30 June 2021.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Rafiq prepares financial statements to 31 January.

(d) (i) Calculate the carrying value of the motor vehicle at 1 December 2020.

(2)

(ii) Prepare the motor vehicle disposal account.

(6)

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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14. Question 18 · part c · 1 mark · Working and answer

Working and answer

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15. Question 13 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

.....

(Total for Question 13 = 5 marks)

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Working and answer

16. Question 17 · part b · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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16. Question 17 · part b · 2 marks · Working and answer

Working and answer

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17. Question 13 · part a · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a only.

13 (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

(1)

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

(2)

	Income statement		Statement of financial position	
	Income	**Expenses**	**Current assets**	**Current liabilities**
Decrease in provision for irrecoverable debts				
Balance of provision for irrecoverable debts account				

(Total for Question 13 = 5 marks)

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Working and answer

18. Question 18 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 (a) State the accounting concept that applies when creating a provision for irrecoverable debts.

(1)

.....

Asif has been experiencing difficulties in getting his trade receivables to pay their accounts on time.

(b) Explain **two** ways Asif could encourage his trade receivables to pay on time.

(4)

1 .....

.....

.....

2 .....

.....

.....

Asif maintains a provision for irrecoverable debts of 2% of trade receivables. On 1 January 2024, the trade receivables balance was $24 000 and on 31 December 2024, it was $28 000

(c) Prepare the provision for irrecoverable debts account for the year ended 31 December 2024. Balance the account at that date and bring the balance down on 1 January 2025.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

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18. Question 18 · part a · 1 mark · Working and answer

Working and answer

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19. Question 9 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

9 Identify the accounting concept of which the recording of other payables and receivables is an application.

- ☒ **A** Accruals
- ☒ **B** Business entity
- ☒ **C** Money measurement
- ☒ **D** Prudence

(Total for Question 9 = 1 mark)

Working and answer

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20. Question 2 · part a · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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20. Question 2 · part a · 3 marks · Working and answer

Working and answer

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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21. Question 1 · part e · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

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(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

(Total for Question 1 = 25 marks)

21. Question 1 · part e · 2 marks · Working and answer

Working and answer

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